

method of systematic investment” and “unfailingly dependable and satisfactory.”⁴ Greenblatt was intrigued. He decided to test Graham’s statistical criteria for stocks selling below liquidation value.

With Wharton classmates Rich Pzena and Bruce Newberg, he labored through a pile of old *Standard and Poor’s* stock guides and marked up the returns by hand. Greenblatt wanted to test the strategy’s performance through a period of extreme market conditions, so he chose the volatile six-year period beginning April 1972 through April 1978. This period included the great market plunge of late 1974 during which the market almost halved, and the subsequent strong recovery that saw the market double. As they were valuing each company and tracking the returns by hand, they limited their universe to companies with market capitalizations \$3 million and above beginning with the letters A or B. This sample included about 750 companies, representing approximately 15 percent of the stocks listed in the *Standard and Poor’s* stock guides. After several months of painstakingly testing four variations of Graham’s criteria, Greenblatt, Pzena, and Newberg had their results. They found that each variation of Graham’s formula selected portfolios that beat the market by more than 10 percent yearly, including one that averaged 42.2 percent per year over the full period (for comparison, the market returned 1.3 percent yearly over the same period). Greenblatt wrote up the results, and the article appeared in the *Journal of Portfolio Management* in 1981 as “How the small investor can beat the market.”⁵

In the article, Greenblatt et al., asked, “Why does it work?” Perhaps foreshadowing his later research on Buffett’s strategy, Greenblatt responded, “We were unable to discover any ‘magic’ qualities associated with stocks selling below liquidation value.”⁶

Simply stated, by limiting our investments to stocks that according to fundamental notions of stock valuation appear severely depressed, we were able to locate more than our share of these inefficiently priced, undervalued securities. In other words, there are probably many more undervalued stocks that are not selling below liquidation value.

More than 20 years after his test of Graham’s net current asset value criteria, and following an outstanding career as the co-portfolio manager of Gotham Capital during which it returned 50 percent⁷ annually, Greenblatt turned his attention to Buffett. If, as he had surmised in 1981, there were many more undervalued stocks *not* selling below liquidation value, who better than Buffett to help identify them?

Greenblatt proposed to test Buffett’s *wonderful company at a fair price* strategy, but such an examination presented a greater challenge than